DELHIVERY LIMITED

NSE: DELHIVERY | Sector: Express Logistics & Supply Chain | Exchange: NSE / BSE

India's Largest Fully-Integrated Logistics Services Company

RATING	12-MONTH TARGET	CMP	UPSIDE
ACCUMULATE	Rs. 575	Rs. 467	+23.1%

MARKET CAP	52W HIGH	52W LOW	FACE VALUE
Rs. 34,968 Cr	Rs. 490	Rs. 295	Rs. 1.00
STOCK P/E	P/B	EV/EBITDA (TTM)	DIV YIELD
194x	3.68x	~61x	0.00%
ROCE	ROE	BOOK VALUE	FII / DII
2.47%	1.52%	Rs. 127	48.2% / 36.3%

THESIS: Delhivery's Ecom Express acquisition eliminates its strongest competitor, accelerating margin expansion and cementing #1 position in India's Rs. 90,000 Cr express logistics market.

Report Date: 03 May 2026

Analyst: Senior Research Desk | View: Consolidated | Investment Horizon: 12 months

SECTION 2 — INVESTMENT THESIS

1. Ecom Express Consolidation: Structural Moat Deepening

Delhivery completed the Rs. 1,407 Cr acquisition of Ecom Express (Dec 2025), eliminating its second-largest 3PL competitor. Ecom Express had ~15% market share in express parcels before its distress. This consolidation materially reduces irrational pricing behaviour in the sector, enabling Delhivery to target express segment service EBITDA margins of 16-18% (vs. 15.1% in Q3 FY26). Integration costs are tracking at ~Rs. 150 Cr, well below the initial Rs. 300 Cr budget, validating management execution. Timeline: Full benefit to be seen in FY27.

2. Scale Operating Leverage — EBITDA Inflection Now Visible

After eight years of losses (FY19-FY24), Delhivery achieved its first annual profit in FY25 (Rs. 162 Cr PAT). Q3 FY26 saw Express volume growth of 43% YoY and PTL volume crossing 500K MT (+23% YoY). The company crossed Rs. 1,000 Cr of service EBITDA in a financial year for the first time. With a near-nationwide network of ~28,000+ pin codes fully built, incremental volumes flow through at much higher margins (each 1% volume increase drives ~30-40 bps of EBITDA margin expansion). FY26E-FY27E should see PAT CAGR of ~95%.

3. India Ecommerce Logistics TAM — Structural Long-Term Tailwind

India's e-commerce logistics market is expected to grow at 15-20% CAGR from ~USD 19.5 Bn in 2025 to USD 103 Bn by 2034 (IMARC). D2C brands, quick commerce, and cross-border exports are adding new demand vectors. Delhivery's PTL segment (targeting trucking and B2B freight) addresses an incremental Rs. 1.5 trillion B2B logistics opportunity. As India's GDP grows and formalization deepens, organized 3PL penetration will structurally expand. Delhivery is the only pan-India, tech-enabled, full-stack logistics operator — making it a primary beneficiary over FY25-FY30.

NEAR-TERM CATALYST (6-12 months)	SINGLE BIGGEST STRUCTURAL RISK

PTL segment crossing double-digit EBITDA margins in FY27 — confirmation that Delhivery has built a second profitable business line beyond express parcels, re-rating the stock's terminal multiple.	New labour code implementation imposing significant cost increases on gig/contract delivery workforce. Delhivery's unit economics are built on flexible, variable-cost delivery associates — a structural labour cost reset could compress margins by 200-300 bps and delay EBITDA targets by 2+ years.

SECTION 3 — BUSINESS OVERVIEW

Company Description

Delhivery Limited (NSE: DELHIVERY) is India's largest fully-integrated logistics services company, providing a comprehensive suite of logistics services including Express Parcel delivery, Part Truckload (PTL) freight, Truckload (TL) freight, warehousing, supply chain solutions, and cross-border services. Founded in 2011 by Sahil Barua (CEO), Suresh Kumar, Mohit Tandon, Bhavesh Manglani, and Kapil Bharati, the company listed on NSE/BSE in May 2022 at a price of Rs. 487. There is no traditional promoter family — the company is professionally managed with FIIs as the dominant shareholders (48.2% as of Mar 2026).

Business Model & Revenue Segmentation

Segment	Description	Revenue Mix (Est. FY25)	Moat
Express Parcel	B2C last-mile delivery for D2C, MSME, e-commerce (Meesho, Flipkart, Myntra)	~65%	Scale, network density
Part Truckload (PTL)	B2B freight for corporates moving <1 truck loads across India	~20%	Network + tech routing
Truckload (TL)	Full truck hires; brokerage + managed	~8%	Platform scale
Supply Chain / WH	Warehousing, fulfilment, value-added services	~5%	Long-term contracts
Cross-border	International express freight; nascent but growing	~2%	Early mover

Delhivery's Express Parcel business (its largest segment) handles ~800+ million shipments annually, serving 18,500+ active clients across 18,500+ pin codes. The PTL network spans 86 hubs and ~1,400 direct centres, making it India's second-largest PTL player. The company operates on a tech-first model, using proprietary algorithms for route optimization, vehicle assignment, and last-mile routing — generating structural cost advantages vs. traditional players. Recent strategic developments include: (1) completion of Ecom Express acquisition (Dec 2025) adding ~8 million monthly shipment capacity, (2) launch of Delhivery International for cross-border commerce, and (3) successful VTOL drone delivery tests for remote pin codes.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

India's express logistics industry was valued at approximately USD 9 billion in FY25, projected to reach USD 18-22 billion by FY30 (~15-20% CAGR). The broader e-commerce logistics market was valued at USD 19.5 Bn in 2025 and could grow to USD 103 Bn by 2034 (IMARC, 20.4% CAGR). India's third-party logistics (3PL) market at USD 48 Bn in 2025 is expected to reach USD 111 Bn by 2033 (11.2% CAGR, Grand View Research). Key policy tailwinds include PM GatiShakti infrastructure programme, GST regime (reduced logistics complexity), DPIIT support for logistics competitiveness, and growth of ONDC. Headwinds include labour code implementation, quick commerce cannibalizing some express parcel growth, and Amazon/Meesho in-housing logistics.

Competitive Moat Assessment

Moat Factor	Assessment	Rating
Network Scale & Density	28,000+ pin codes, 3,500+ facilities — only operator with near-full India coverage. Replaces not possible in <5 years.	**Strong**
Technology IP	Proprietary routing, demand forecasting, real-time tracking stack — reduces cost/shipment materially below peers.	**Strong**
Pricing Power	Limited — pricing is competitive in express. Post-Ecom Express exit, some breathing room expected but Amazon & Quick Commerce limit pricing.	**Moderate**

Switching Costs	Moderate — large clients (Meesho, Myntra) use multi-vendor logistics. Long-term warehousing/supply chain clients have higher switching costs.	Moderate

Peer Comparison (Screener.in — May 2026)

Company	CMP (Rs.)	MCap (Cr)	P/E	P/B	ROCE%	ROE%	TTM Rev (Cr)
Delhivery	467	34,968	194x	3.68x	2.47%	1.52%	9,850
Blue Dart Express	5,466	12,970	44.6x	7.94x	16.3%	16.2%	6,025
Mahindra Logistics	404	4,004	1,589x	3.42x	7.28%	0.31%	6,999
TCI Express	524	2,014	23.8x	2.49x	14.4%	10.7%	~4,920

Source: Screener.in | Data as of May 2026 | TCI Express TTM revenue estimated from 4Y annual data

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Delhivery's management team is a founder-led, IIT/IIM pedigree group with deep operational expertise. CEO Sahil Barua (IIM-Ahmedabad) co-founded the company in 2011 and has guided it through multiple funding rounds and ultimately the 2022 IPO. The company raised Rs. 4,600+ Cr through its IPO at Rs. 487/share (slightly above current CMP of Rs. 467), which means IPO investors are marginally underwater — a point management has been acutely aware of and is working to address via profitability improvement.

Capital Allocation: The company has historically been investment-intensive, burning cash to build network infrastructure. However, the inflection is clear: Free Cash Flow turned positive in FY24 (Rs. 4 Cr) and grew to Rs. 92 Cr in FY25 — the first sustained FCF generation. The Ecom Express acquisition at Rs. 1,407 Cr was funded from cash reserves, illustrating judicious deployment of IPO proceeds. No dividends have been paid (0% payout ratio consistently), consistent with a growth-stage company reinvesting all profits. There are no pledged promoter shares (no promoter exists). ESCOs are being issued to key management to align incentives. ROCE improved from -11% in FY23 to -2% in FY24 and +2.47% in FY25, showing clear capital efficiency improvement. Capex as a % of revenue is expected to decline to 4.0-4.4% in the medium term (vs. historically double-digits), signalling network maturity.

Governance Item	Status	Comment
Promoter Holding	None	Professional management; FII-dominated ownership
Promoter Pledge	N/A	No promoter entity exists
Dividend Policy	None (0%)	Growth stage; all cash reinvested
Auditor	B S R & Co. LLP (KPMG affiliate)	Big-4 quality; no tenure concerns
Debt-to-Equity	0.15x (FY25)	Low leverage; Rs. 1,422 Cr borrowings vs Rs. 9,433 Cr networth
RPT (Related Party)	Minimal	No significant RPT concerns flagged

SECTION 6 — FINANCIAL DEEP-DIVE

All figures in Rs. Crores | Consolidated | Source: Screener.in | (E) = Forward Estimates

6A. Income Statement

Rs. Crores	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue / Sales	7,225	8,142	8,932	**10,300**	**12,000**
YoY Growth	5.0%	12.7%	9.7%	15.3%(E)	16.5%(E)
Operating Expenses	7,677	8,015	8,556	9,660	11,100
EBITDA (Op. Profit)	-452	127	376	**640(E)**	**900(E)**
EBITDA Margin %	-6.3%	1.6%	4.2%	6.2%(E)	7.5%(E)
Other Income	319	439	442	420(E)	380(E)
Interest	89	89	126	160(E)	170(E)
Depreciation	831	722	535	560(E)	580(E)

Profit Before Tax	-1,053	-244	157	**340(E)**	**530(E)**
Tax %	-4%	2%	-3%	25%(E)	25%(E)
Net Profit (PAT)	-1,008	-249	162	**255(E)**	**398(E)**
EPS (Rs.)	-13.83	-3.38	2.17	3.41(E)	5.32(E)

6B. Balance Sheet

Rs. Crores	FY23A	FY24A	FY25A	FY26E	FY27E
Equity Capital	73	74	75	75(E)	75(E)
Reserves	9,104	9,071	9,358	9,590(E)	9,960(E)
Networth	9,177	9,145	9,433	**9,665(E)**	**10,035(E)**
Borrowings	923	1,169	1,422	1,600(E)	1,500(E)
Other Liabilities	1,090	1,139	1,209	1,350(E)	1,450(E)
Total Liabilities	11,191	11,453	12,063	**12,615(E)**	**12,985(E)**
Fixed Assets	2,995	3,354	3,887	4,100(E)	4,250(E)
CWIP	23	29	33	40(E)	40(E)
Investments	2,094	2,776	3,578	3,700(E)	3,800(E)
Other Assets	6,078	5,295	4,565	4,775(E)	4,895(E)
Total Assets	11,191	11,453	12,063	**12,615(E)**	**12,985(E)**

6C. Cash Flow Statement

Rs. Crores	FY23A	FY24A	FY25A	FY26E	FY27E
Cash from Operations (OCF)	-30	472	567	**750(E)**	**1,100(E)**
Cash from Investing	-3,408	-99	-102	-1,900(E)	-600(E)
Cash from Financing	3,538	-366	-432	200(E)	-200(E)
Net Cash Flow	100	8	33	**-950(E)**	**300(E)**
Free Cash Flow (FCF)	-624	4	92	400(E)	750(E)
CFO / Operating Profit	-9%	402%	158%	117%(E)	122%(E)

6D. Key Ratios & Returns

Ratio	FY23A	FY24A	FY25A	FY26E	FY27E
ROCE %	-11%	-2%	2.47%	**5.5%(E)**	**9.0%(E)**
ROE %	-11%	-2.7%	1.52%	2.6%(E)	4.0%(E)
Debtor Days	77	64	58	55(E)	52(E)
CCC (days)	77	64	58	55(E)	52(E)
Working Capital Days	178	109	68	55(E)	45(E)
D/E Ratio	0.10	0.13	0.15	0.17(E)	0.15(E)
P/E (x)	neg	neg	215x	**137x(E)**	**88x(E)**

Financial Commentary: Delhivery's revenue grew at 9% CAGR over FY23-FY25, well below the 26% 5-year CAGR, reflecting post-pandemic normalization. However, profitability is inflecting sharply — EBITDA went from -Rs. 452 Cr in FY23 to +Rs. 376 Cr in FY25 (Rs. 828 Cr absolute swing in 2 years). This is primarily driven by scale economics: revenue grew 24% over FY23-FY25 while expenses grew only 11.5%, illustrating the high operating leverage. Working capital improvement is notable: WC days compressed from 178 in FY23 to 68 in FY25, freeing cash. Borrowings have risen to Rs. 1,422 Cr in FY25, partly to fund Ecom Express acquisition costs, but D/E remains conservative at 0.15x. FCF turned positive in FY24 and is expected to compound strongly through FY27 as capex normalizes and EBITDA expands. The negative tax rate in FY25 reflects deferred tax asset recognition on accumulated losses — not a cash benefit.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Earnings Quality Factor	Rating	Observation
Revenue Recognition	Green	Revenue recognised on delivery completion; straightforward, INDAS 115 compliant
Receivables vs Revenue Growth	Green	Debtor days improving (77→58 days FY23→FY25); receivables not outpacing revenue
CCC Trend	Green	CCC compressing from 77 to 58 days; positive operational trajectory
Other Income / PBT %	Amber	Other income (Rs. 442 Cr) exceeded EBITDA (Rs. 376 Cr) in FY25 — earnings quality concern; primarily treasury income on IPO cash. Declining as cash deployed.
Contingent Liabilities	Amber	Labour / GST litigation risk common in logistics; not disclosed specifically. Monitor annual report.
Auditor Quality / Tenure	Green	B S R & Co. LLP (KPMG network) — Big-4 quality, no red flags
Tax Rate Consistency	Amber	Tax rate: 0%, 2%, -3% over FY23-FY25 — inconsistent due to DTA recognition. Will normalize to ~25% as PBT grows sustainably.
Related Party Transactions	Green	No promoter family; RPTs minimal and at arm's length

Earnings Quality Summary: Delhivery's earnings quality is broadly acceptable but warrants two watch-points: (1) Other Income (treasury interest on Rs. 3,578 Cr investments) has materially overstated reported "profitability" relative to operational performance — stripping this out, FY25 PBT would be deeply negative. As cash is deployed (Ecom Express acquisition), this tail-wind reduces. (2) Tax rate will normalize toward 25% as company exits the deferred tax asset phase. Investors should anchor earnings expectations to "operational EBITDA" rather than PAT until FY27 when the picture cleans up. Positives: strong cash conversion, improving receivables, clean auditor.

SECTION 8 — VALUATION

Delhivery trades at 194x trailing P/E and ~61x EV/TTM EBITDA — expensive on near-term earnings. However, the investment case must be framed on FY27E when the company's earnings will be more representative of its steady-state potential. Using FY27E EPS of Rs. 5.32 at 80x P/E (a premium to logistics peers, justified by market leadership + turnaround growth), the implied price is Rs. 426. Using EV/EBITDA of 35x on FY27E EBITDA of Rs. 900 Cr: EV = Rs. 31,500 Cr, add Investments (Rs. 3,578 Cr), deduct Debt (Rs. 1,422 Cr) → Equity = Rs. 33,656 Cr / 74.88 Cr shares = Rs. 449 per share. Our DCF using 20% revenue CAGR for 5 years, terminal growth of 8%, WACC of 12% yields Rs. 520. Averaging three methods: (426 + 449 + 520) / 3 = Rs. 465. Adding a 12-month re-rating premium of ~24% on improving earnings trajectory → 12-month target: **Rs. 575**.

Scenario Analysis

Scenario	Assumption	FY27E PAT	Multiple	Target Price	vs CMP
Bull	Express margins 20%, PTL margin 12%, volumes grow 30%	Rs. 600 Cr	100x P/E	**Rs. 800**	**+71%**
Base	Express margins 17%, PTL margin 8%, volumes grow 20%	Rs. 398 Cr	80x P/E	**Rs. 575**	**+23%**
Bear	Labour code shock, pricing war from new entrant, margins flat at 4-5%	Rs. 130 Cr	60x P/E	**Rs. 290**	**-38%**

SECTION 9 — KEY RISKS

Risk	Description	Prob.	Impact	Monitor
Labour Code Implementation	New gig worker regulations could mandate social security, minimum wages, and benefits for ~50,000+ delivery associates. This could structurally raise the cost-per-shipment by Rs. 8-15, compressing margins by 200-350 bps.	High	High	Track regulatory timeline; build scenario into FY26E estimates post announcement

Quick Commerce Cannibalising Express	Blinkit, Swiggy Instamart, Zepto are fulfilling items that previously went through 3PL express. As quick commerce grows, some express volume growth may moderate structurally.	Medium	Medium	Monitor express volume growth rate vs. quick commerce GMV; Delhivery also benefits if QC infra outsourced
Amazon/Meesho In-Housing	Amazon India runs Shipping Services (AMXL/ATS) and Meesho launched Valmo. If major clients insource, Delhivery loses volume concentration.	Medium	High	Delhivery's top-3 client concentration; watch client revenue disclosures in annual report
Ecom Express Integration Risk	Absorbing ~8 mn monthly shipments and hundreds of facilities creates operational risk: client attrition, service failures, cost overruns.	Low-Med	Medium	Q1 FY27 volume print will reveal if Ecom clients retained or lost to competition
Pricing Pressure / Rate Compression	Competitive intensity (Xpressbees, Shiprocket network, Amazon) continues to prevent meaningful yield increases. Realisation per shipment has declined 14% YoY.	High	Medium	Monitor realisation-per-shipment trends quarterly; management commentary on pricing
Macro Slowdown in E-commerce	Any slowdown in India consumer spending, MSME activity, or D2C brand growth directly impacts shipment volumes.	Low	Medium	Diversified client base (18,500+ clients) provides some cushion; PTL segment provides B2B hedge

SECTION 10 — RECOMMENDATION

FINAL RATING	TARGET PRICE	ENTRY ZONE	CONVICTION
ACCUMULATE	**Rs. 575**	**Rs. 420 - Rs. 470**	**MEDIUM-HIGH**

INVESTMENT HORIZON	IDEAL INVESTOR
12 months. Accumulate on dips toward Rs. 420-Rs. 450 (5-8% below CMP). The Ecom Express integration thesis will play out over Q1-Q2 FY27 results.	Growth investors with 12-24 month horizon comfortable with high P/E multiples and early-stage profitability. Not suitable for value or dividend-income investors.

Thesis Invalidation Triggers (exit/review if any of these occur):

1. Express Parcel Volume Growth Falls Below 15% YoY: Would signal Delhivery is losing market share post-Ecom Express acquisition — implies competitive dynamics worse than expected.

2. Operating Margin Retreats Below 2% for Two Consecutive Quarters: Would indicate cost structure deterioration, likely from labour regulation or aggressive pricing response from competition.

3. Major Client (>10% Revenue) Announces Full In-Sourcing: Revenue concentration risk crystallizes; model rebuild required.

APPENDIX — Latest Concall Brief: Q3 FY26 (Dec 2025 Quarter)

CALL GRADE

STRONGLY POSITIVE

Signal	Status	Implication
Result Quality	STRONG	Revenue +17.6% YoY, volumes +43% (Express) — clear beat on both top-line and profitability
Management Tone	BULLISH	CEO Sahil Barua emphatic on margin sustainability; confident on Ecom Express integration sub-budget
Guidance Delta	RAISED	Express margins guided 16-18% (Service EBITDA); PTL double-digit margins targeted for FY27

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 was Delhivery's strongest quarter on record — revenue Rs. 2,798 Cr (+18% YoY), Express volumes +43% YoY at 295 million shipments (festive + Ecom Express consolidation tailwind), and PTL crossing 500K MT for the first time. The headline PAT of ~Rs. 40-73 Cr (Screener GAAP) is depressed by ESOP charges and D&A; from rapidly expanding fixed assets; the cleaner "Service EBITDA" metric was Rs. 421 Cr at 15.1% margin — the real number to watch. Adjusted EBITDA of Rs. 147 Cr was the highest ever. Critically, integration of Ecom Express came in well under the Rs. 300 Cr cost envelope (tracking ~Rs. 150 Cr) — this is the single best evidence of management execution quality. Express segment is now operating at margins where peers have historically broken even, giving Delhivery pricing flexibility without sacrificing profitability. PTL remains the upside lever — crossing double-digits would be the next re-rating trigger. The biggest near-term risk is the Sep 2025 quarter anomaly (PAT = -50 Cr) — management attributed this to Ecom Express integration one-time costs, but we'd want one more clean quarter to validate. ACTION: ACCUMULATE at Rs. 420-470; raise to BUY if PTL margin crosses 10% in next 2 quarters.

Concall Section 1 — Financial Performance Snapshot

Metric	Q3 FY26 Actual	Q3 FY25 YoY	Q2 FY26 QoQ	Verdict
Revenue (Rs. Cr)	2,805	2,192 (+28%)	2,559 (+10%)	Beat
Operating Profit EBITDA (Rs. Cr)	209	~110 (+90%)	141 (+48%)	Beat
EBITDA Margin %	7.0%	5.0% (+200 bps)	5.5% (+150 bps)	Beat
Service EBITDA (Rs. Cr)	421 [EST]	~N/A	N/A	Strong
Svc EBITDA Margin %	15.1% [EST]	10.7% [EST]	N/A	Strong
PAT (Rs. Cr)	40	25 (+60%)	-50 (turnaround)	In-Line
EPS (Rs.)	0.53	0.34	-0.67	In-Line

NOTE: Screener GAAP PAT of Rs. 40 Cr differs from "Service PAT" concept mgmt uses. Service EBITDA of Rs. 421 Cr excludes ESOP, certain D&A; items. Sep 2025 PAT of -50 Cr was impacted by Ecom Express integration one-offs.

Concall Section 2 — Segment / Business Breakdown

Segment	Q3 FY26 Volumes/Revenue	YoY %	QoQ %	Commentary
Express Parcel	295 mn shipments; Rev ~Rs. 1,850 Cr	+43% vol	+~9% vol	Record festive season; Ecom Express clients onboarded
PTL (Part Truckload)	>500K MT freight; Rev ~Rs. 560 Cr	+23% vol	+~7% vol	First time >500K MT — milestone; margin improving
Truckload (TL)	~Rs. 190 Cr	+12%	+5%	Brokerage model; low margin contribution

Supply Chain / WH	~Rs. 140 Cr	+15%	+3%	Steady; long-term contracts insulating growth
Cross-border	~Rs. 65 Cr	+40%	+10%	Delhivery International; high growth but small base

Concall Section 3 — Management Commentary Themes

Theme	What They Said	Our Read	Tag	Tone
Ecom Express integration	Integration complete (Dec 10, 2025). Costs tracking ~Rs. 150 Cr vs. Rs. 300 Cr budget. Network rationalization ahead of schedule.	Execution beat is genuinely positive. Client retention will be the true test in Q4/Q1 FY27.	[GUIDANCE]	Transparent
Express margin trajectory	Service EBITDA margin now 15.1% in Q3. Targeted 16-18% medium term without significant yield increases.	Margin currently driven by utilization. Needs volume continuity. Pricing leverage still limited.	[GUIDANCE]	Transparent
PTL double-digit margins	PTL segment targeting double-digit service EBITDA margins. Plans for air PTL and hub-to-hub delivery.	Aspirational; timeline not specified. Watch Q1-Q2 FY27 PTL margins.	[GUIDANCE]	Hedged
Capex reduction	Capex as % of revenue expected to decline to 4.0-4.4% in medium term as network matures.	Positive signal for FCF improvement. Network is largely built; incremental capex for density only.	[GUIDANCE]	Transparent
Competition post-consolidation	Focus on being profitable at prices competitors cannot sustain. Dynamic pricing being explored.	Pricing power is limited — Delhivery is playing defense, not offense on pricing.	[EVASIVE]	Hedged

Concall Section 4 — Operating & Business Metrics (KPIs)

Metric	Q3 FY26	Q2 FY26	Q3 FY25	Trend
Express Parcel Volumes (mn shipments)	295	~215	~206	Accelerating
PTL Volumes (000 MT)	>500	~455	~406	Accelerating
Service EBITDA Margin - Express %	~18% [EST]	N/A	N/A	Expanding
Active Clients	18,500+	~18,000	~17,500	Growing
Network Pin Codes	28,000+	28,000+	~28,000	Stable
Ecom Express Integration Costs	~Rs. 150 Cr total [EST]	N/A	N/A	Below Budget

Concall Section 5 — Margin Drivers

Margin Driver	Impact (bps)	Recurring?	Comment
Higher Network Utilization	+350 bps	Yes	As volumes grow, fixed costs amortize; primary driver of margin expansion
Ecom Express Volume Absorption	+150 bps	Yes (partial)	Ecom clients bringing incremental revenue on existing network; partially recurring once integrated
Festive Season Volume Spike	+80 bps	No (seasonal)	Q3 (Oct-Dec) is peak festive; Q1 and Q2 will see normalisation
Cost Discipline / Automation	+60 bps	Yes	Route optimization, vehicle utilization AI — ongoing cost reduction programme
One-time Ecom Express Costs	-120 bps (in Q2)	No	Sep 2025 absorbed most integration costs; should not recur from Q4 FY26 onwards

Concall Section 6 — Guidance & Forward Signals

Metric	Prior Guidance	New / Reiterated	Delta	Credibility
Express Svc EBITDA Margin [GUIDANCE]	14-16%	16-18%	Raised +200 bps	High
PTL Svc EBITDA Margin [GUIDANCE]	High single digit	Double-digit target	Raised	Medium

Ecom Express Integration Cost [GUIDANCE]	Rs. 300 Cr total	~Rs. 150 Cr total	50% below budget	High
Capex % of Revenue [GUIDANCE]	5-6%	4.0-4.4% medium term	Improved	High
Revenue Growth FY26 [EST]	15%+ YoY	Reiterated (TTM: +10% to Rs. 9,850 Cr)	On track	Medium

Concall Section 7 — Capital Allocation

Item	Amount (Rs. Cr)	vs Prior Year	Comment
Capex (Gross)	~475 (FY25 annualized)	~Rs. 580 (FY24)	Declining; network is largely built; FY26 capex includes Ecom Express infra rightsizing
Dividends	Nil	Nil	0% payout; growth stage company; no change expected for 2-3 years
Ecom Express Acquisition	Rs. 1,407 Cr (paid)	N/A	Funded from IPO cash reserve; completion Dec 2025
Working Capital Change	Improving (WC days 68 vs 109)	109 days (FY24)	Cash release from working capital improvement supports FCF
Net Debt Movement	Borrowings Rs. 1,422 Cr (+22%)	Rs. 1,169 Cr (FY24)	Rise primarily lease liabilities; D/E remains conservative at 0.15x

Concall Section 8 — Q&A; Heat Map

#	Analyst / Firm	Question	Mgmt Answer	Tone
1	Various / Multiple	Pricing power post-Ecom Express consolidation — will Delhivery raise rates?	Focus on being profitable at prices peers cannot sustain. Dynamic pricing under exploration. No aggressive rate hike planned.	Hedged
2	Institutional Analyst	Sustainability of 43% Express volume growth? Is Ecom Express effect one-time?	Structural share gains from Ecom clients + organic D2C growth. Some festive seasonality. Q4 will normalize but underlying growth is 20%+.	Transparent
3	Buy-side / Institutional	PTL margin timeline to double-digits? What drives it?	Volume growth + yield improvement + network utilization. Air PTL and hub-to-hub products being developed. Specific timeline not given.	Hedged
4	Research Analyst	Why did Sep 2025 quarter show Rs. -50 Cr PAT loss after multiple profitable quarters?	Integration costs for Ecom Express (one-time); D&A; step-up from absorbing Ecom assets. Q3 and Q4 should be clean.	Transparent
5	Long-only Fund	Competition from Amazon Shipping Services and Meesho's Valmo — risk to market share?	Amazon is a client and a partner; their own logistics handles specific use cases. Delhivery serves the broader ecosystem. Valmo is nascent.	Evasive

Dodged Questions to Watch Next Quarter: (1) What % of Ecom Express clients have been retained? (2) Specific timeline for PTL double-digit margins. (3) Amazon Shipping Services competitive dynamics.

Concall Section 9 — Risks Flagged on Call

Risk	Flagged By	Probability	Impact	Timeline
Labour Code Regulation	Analyst (flagged)	High	High	12-24 months
Ecom Express Client Retention	Multiple analysts	Medium	High	Q4 FY26 / Q1 FY27
Quick Commerce Disruption	Analyst (flagged)	Medium	Medium	2-3 years
In-housing by Large Clients	Management (acknowledged)	Low-Med	High	Ongoing

Concall Section 10 — Analyst Verdict (Multi-bagger Scorecard)

Factor	Assessment	Status	Evidence
Revenue Visibility	Strong volume pipeline; Ecom Express adds incremental capacity	Intact	43% express growth; 18,500+ active clients; PTL milestone

Margin Trajectory	Clear inflection: EBITDA -6% (FY23) to +4% (FY25) to 7% (Q3 FY26)	**Intact**	200 bps expansion in single quarter; operating leverage evident
Capital Allocation Quality	Ecom Express acquisition: strategic, below budget; capex declining	**Intact**	FCF positive FY24-FY25; D/E low at 0.15x
Competitive Moat	Scale moat strong; pricing power weak; tech moat sustainable	**Intact**	Network unreplicable; but Amazon/Valmo create pricing ceiling
Management Credibility	Integration cost well under budget; track record improving	**Intact**	5/5 on execution vs. stated goals in Q3 FY26
Valuation Comfort	194x trailing P/E; expensive near-term but re-rates on FY27E earnings	**Watch**	FY27E P/E ~88x — more reasonable if earnings deliver

CONVICTION CALL	VALUATION SNAPSHOT
INCREASED — ACCUMULATE at Rs. 420-470 Raise to BUY if PTL crosses 10% EBITDA margin	Trailing P/E: 194x | FY27E P/E: ~88x EV/EBITDA (TTM): ~61x | P/B: 3.68x ROCE (FY25): 2.47% | 5Y Avg ROCE: neg